

nessed up close Instagram's growth in India during his stint with Meta. Snapchat, as a platform, was built to provide an alternative to social media, says Mohan. Its privacy feature (its ephemeral nature means messages disappear in 24 hours) is a big draw. "We don't record every conversation we have with our friends when we're hanging out with them. Therefore, making conversation online, and more similar to real world conversation, is one of the reasons why people love Snapchat," explains Snap Co-founder & CEO Evan Spiegel, who founded the platform with friend Bobby Murphy in 2011.

Snapchat's core target is the 13-34 age group (depending on the country, 45-55 per cent or even 60 per cent of its users are not on any other platform) and they "easily understand privacy and visual plus they think it's fun", says Mohan, who expects Snapchat to be one of the fastest growing consumer tech platforms in the country.

Plus, the demographics play to Snap's advantage, differentiating it as a platform and making it more appealing to the youth, says Mohan. "Nowhere is it truer than in India, and now the renewed focus on privacy works to our advantage." For the user, Snapchat is unique for several reasons—the app opens to the phone's camera, of course, followed by the AR experience, the map or content feeds on Discover (a news feed) and Spotlight (that showcases user-generated short-form videos). Mohan speaks of the intense competition for each of these in India and "we have still grown".

"Snap is quite differentiated when it comes to how young people engage on the platform via Stories, AR Filters, Visual Messaging, Spotlight, AR Commerce, and AI Messaging—which are some of the highly engaging features and more advanced than its nearest and biggest competitor Meta," says Counterpoint's Shah, adding that India's target audience is "tailor-made" for Snap.

If India is a unique market, the Snapchat story is proof of that, says Mohan. Spotlight, he says, has "exploded" and looks different here, where one is seeing younger creators and more real stories as opposed to curated ones. "Plus, growth has taken place in a short period and a lot of effort has been on shaping the product in terms of localising it, engaging with creators or just trying to understand what works here. We have not done enough to build the business and that is now a big focus area," says Mohan.

Shah agrees, adding that the focus for Snap will be more about getting ahead with localised content and a highly engaged community, including that of creators. For instance, rival Instagram has focussed on the creator piece to its advantage; it helps that with a larger community, its creators have a higher potential to earn from the platform. But India is a very different terrain

SNAP'S STEADY GROWTH IN INDIA

OPERATING REVENUE (IN ₹ CRORE)

8.68	32.7	65.78
FY20	FY21	FY22

EBITDA (IN ₹ CRORE)

1.1	4.07	9.1
FY20	FY21	FY22

NET PROFIT (IN ₹ CRORE)

6.23	2.92	0.82
FY20	FY21	FY22

RETURN ON EQUITY (%)

10.24	26.66	36.25
FY20	FY21	FY22

NOTE SNAP'S INDIAN OPERATIONS GO BY THE NAME OF SNAP CAMERA INDIA PRIVATE LIMITED

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